

CDC Trustee & Custodial Services Compliance Handbook for Mutual Funds & REITs

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1. Scope of Trustee & Custodial Services (T&CS;)

CDC operates as the premier independent trustee to over 95% of Pakistan's mutual fund industry, encompassing Open-End Mutual Funds, Closed-End Schemes, Voluntary Pension Schemes (VPS), and Real Estate Investment Trusts (REITs). CDC Trustee and Custodial Services acts as an independent fiduciary guardian protecting the interests of retail and institutional unit holders.

2. Core Statutory Duties of the Trustee

Under the Non-Banking Finance Companies (NBFC) Regulations, 2008, CDC as Trustee must: (a) Take into its custody all scheme assets, securities, and cash bank accounts; (b) Ensure that Asset Management Companies (AMCs) calculate daily Net Asset Value (NAV) in strict compliance with prescribed valuation methodologies; (c) Validate that all investments strictly adhere to scheme offering documents and authorized investment limits; (d) Authorize unit issuance and redemption settlements only after confirming funds receipt.

3. Investment Restrictions & AMC Monitoring

CDC continuously monitors AMC portfolio management against statutory prudential limits. These limits include exposure caps on single-group investments (maximum 15% of scheme NAV), single-company equity exposure (maximum 10% of scheme NAV), and unlisted debt limits. Any investment breach identified by CDC is immediately flagged to AMC fund managers for mandatory rectification within thirty (30) days and simultaneously reported to the SECP Specialized Companies Division.

4. Safeguarding Voluntary Pension Schemes (VPS)

For Voluntary Pension Schemes established under the Voluntary Pension System Rules, 2005, CDC Trustee ensures individual sub-account ring-fencing across equity, debt, and money-market sub-funds. CDC guarantees that pension contributions remain immune from attachment by AMC creditors or external debt claims.

5. Annual Trustee Reporting to Unit Holders

At the close of each financial year, CDC issues an independent 'Report of the Trustee to Unit Holders' published inside the fund's audited financial statements, certifying whether the AMC has managed the fund in accordance with regulatory provisions and offering document covenants.